

DEMO.PSS.REC.08/02.14.003/2025-26

Harmonisation of Turnaround Time for Failed Transactions

In exercise of the powers conferred under the applicable statute, the following directions are issued. These directions shall come into force with immediate effect and shall supersede earlier instructions on the subject to the extent that they are inconsistent.

1. Scope

This circular prescribes the turnaround time for resolution of failed transactions across electronic payment systems and the compensation payable where the prescribed time is exceeded.

2. Automated teller machine transactions

Where an account has been debited but cash has not been dispensed, the amount shall be reversed within five calendar days from the date of the transaction. Failure to reverse within this period attracts compensation of one hundred rupees per day of delay, computed from the sixth day.

3. Card to card transfers

Where an account has been debited but the beneficiary card has not been credited, the debit shall be reversed within one calendar day from the date of the transaction. Compensation of one hundred rupees per day applies from the second day.

4. Immediate payment service

Where an account has been debited but the beneficiary account has not been credited, and the transaction is not reversed automatically, the debit shall be reversed within one calendar day. Compensation applies from the second day.

5. Unified payment interface

For person to person transactions where the beneficiary account is not credited, the debit shall be reversed within one calendar day. For person to merchant transactions the same period applies from the date on which the merchant confirms non delivery.

6. Point of sale transactions

Where an account has been debited without generation of a charge slip, the debit shall be reversed within five calendar days. Compensation of one hundred rupees per day applies thereafter.

7. Compensation without claim

Compensation payable under this circular shall be credited to the account of the customer without any claim being lodged. The absence of a complaint shall not relieve the regulated entity of the obligation to pay compensation.

8. Reporting

Regulated entities shall report the number of failed transactions and the compensation paid in the quarterly return prescribed under the payment systems reporting framework, within fifteen days of the close of each quarter.